

Foreclosure Title Transfer Issues

When homeowners can no longer afford their mortgage payments and a short sale is either not possible or undesirable, they may decide to sign a deed in lieu of foreclosure, giving up ownership to the bank that holds the mortgage. Once the homeowner defaults on the mortgage loan, the lender that initiates the foreclosure proceedings essentially makes that decision for the homeowner.

Even when a lender retains the right to a foreclosure sale in the loan paperwork, foreclosure is usually a lengthy and complex legal process. Distressed homeowners may attempt to obtain loan modifications or other types of assistance to forestall the foreclosure and stay in their homes. For example, declaring bankruptcy can put a halt to the foreclosure process while that legal issue is straightened out.

Buying a Foreclosure: Proceed with Caution

Houses in the process of foreclosure may look like bargains. They often sell for much less than comparable properties. But homeowners losing their property to foreclosure may not be the best caretakers. Some distressed homeowners yank appliances, pull copper wiring out of walls, remove plumbing fixtures, leave rotting trash behind, and cause other issues that involve expense and time to clean up. Utilities are often turned off, and it's difficult to inspect a foreclosure property. Buyers end up purchasing them as-is and inherit hidden problems, from leaky basements to HOA bills, in the process. It takes time to clear the title, sorting out who is owed what and how they'll be paid.

Foreclosed properties may also have title issues, including:

- Unpaid tax liens
- Additional unrecorded owners
- Disputed title and loan paperwork

Buyers who seek to purchase foreclosures may face additional challenges, including:

- Higher closing fees due to the complicated paperwork
- Attorney fees
- Closing delays
- Homeowners who decide to redeem their property by paying back amounts owed (in many states, this can only happen before the foreclosure sale)

A quick title issue and foreclosure search will turn up enough nightmares to scare most buyers off, so foreclosure properties often go to savvy investors, who have the least to lose and the most to gain.